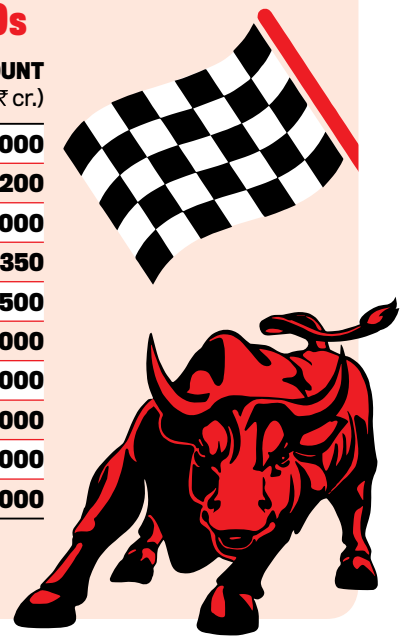
A FEW FORTHCOMING IPOs

COMPANIES	ISSUE AMOUNT (Estimated, ₹ cr.)
Ebixcash	6,000
TVS Supply Chain Solutions*	4,200
Tata Technologies	4,000
Navi Technologies	3,350
Tata Play	2,500
Vikram Solar	2,000
Hemani Industries*	2,000
Concord Biotech	2,000
Allied Blenders & Distillers	2,000
Indiafirst Life Insurance Co.	2,000

IPOs approved by SEBI; as on July 21, 2023
**Refiled; source: primedatabase.com*



2 lakh holding in a company) increased to an all-time high of 7.48 per cent as on March 31, 2023, shows an analysis by Prime Database. Meanwhile, despite net outflows from foreign institutional investors (FIIs) of Rs 26,211 crore during the quarter, the FII share increased marginally to 20.6 per cent as on March 31, 2023, up by 32 basis points, from 20.2 per cent as on December 31, 2022.

The presence of several companies that are offering reasonably-priced issues also accounts for some of the frenetic activity. "You have not seen too many large-sized issues this year. Mankind Pharma has been the only IPO [valued at] more than Rs 1,000 crore this year," says Haldea. In the years 2020 and 2021, the boom period for the stock markets after an initial downslide due to the pandemic shock, a few start-ups launched their IPOs in the hope of cashing in on the ebullience. Their valuations, however, were too ambitious against their actual performance, making their share prices tumble. Most unicorns (start-ups with over $1 billion or Rs 8,200 crore valuation) continue to post heavy losses and some of the listed companies have suffered heavily on the stock exchanges. Startups such as Paytm, PolicyBazaar and Nykaa, which went public in 2021, saw share prices fall way below their listing price, wiping out millions of dollars of investors' wealth. In 2022, several start-ups like PharmEasy, MobiKwik and Droom shelved their IPOs. Which brings us to an important question. How sustainable will the market buoyancy be?



"With the secondary market being fairly bullish over the past couple of months, you are seeing a pick-up in the primary activity"

PRANAV HALDEA
MD, Prime Database Group

Know your market

Markets generally have two kinds of investors—those who come in for listing gains and may not have long-term shareholding intentions. Others are long-term investors, who are looking for differentiated stories (or stocks) and attractive valuations. "I think one can expect a lot of activity on the primary market in the balance part of the year, post which there could be a pause due to the upcoming general election," says Haldea.

Shah cautions against extremely high valuations of some companies entering the IPO market, which reflect "the greed of the market". In fact, some investors have decided to exercise caution for the forthcoming IPOs. Others do not get to invest in the desired IPOs. Ankit Kumar, 44, a sales executive in Mumbai, says he wanted to grab a few shares of a drone-manufacturing firm that had launched its IPO in June. However, the IPO was 100 per cent oversubscribed, and Kumar was unable to procure any shares, despite applying from multiple demat accounts. "The present position of a retail investor like me is that I am not getting to buy into good companies, and at the same time, may lose money on other companies," Kumar says. He laments the lack of protection for retail investors against market cartels, where prices of a stock are artificially inflated after retail shares are bought in bulk.

Experts also caution against the IPO grey market, an unofficial market where the IPO shares can be traded before officially listing on the bourses. This generally gives some hint about possible listing price of IPO, and the rates can be very volatile. "Investors should not invest based on grey market quotations. They could lose their money," says Shah.

The fact that many firms are lining up for IPOs is undoubtedly encouraging. However, movements in the markets are unpredictable. While enthusiastic investors may want to sink money in IPOs and make a quick buck, experts continue to advise investors to engage in the markets with a long-term horizon, and to invest keeping in mind the true fundamentals of companies rather than valuations. ■